

ICAI / AICA LEVEL 2 CAPSTONE PROJECT

Automated Legal Intelligence Engine for GST Section 16(2)(c) & Retrospective NGTP Disputes

STATUTORY CONFLICT	MANUAL WORKLOAD	DEFENSE FAILURE RATE
Section 16(2)(c)	15 - 20 Hours	65%+ First Appeals
Widespread disallowance of ITC against compliant buyers whose suppliers defaulted in cash or faced retrospective cancellation.	Spent by a CA/Advocate manually cross-referencing invoices, bank UTRs, E-Way bills, and portal records per SCN.	Fail before Adjudicating Authorities due to drafting traps, missing transit proofs, and failure to cite binding Supreme Court ratio.

1. The Legal Dilemma & Core Contradiction	2. The Capstone Engineering Solution
• The Impossible Condition (Section 16(2)(c)): Tax law conditions buyer credit on the supplier paying tax into the exchequer. While the buyer paid tax via RTGS, it has zero statutory power to compel a third-party seller to deposit tax. • Retrospective Cancellation Injustice: Proper officers cancel supplier GSTINs retrospectively (ab-initio 5 years later) and mechanically disallow credit to innocent buyers who transacted when the registration was active (violating <i>LGW Industries & D.Y. Beathel</i>). • Violation of Article 141 Binding Precedent: In <i>Suncraft Energy</i>, Calcutta HC held—and Supreme Court affirmed (SLP 27927/2023)—that Revenue cannot recover from the buyer without first exhausting remedies against the seller.	• 2-Second Evidentiary Verification: Replaces 20 hours of manual audit. Validates Rule 46 invoices, 180-day RTGS bank payments, and Section 16(2)(b) E-Way bill movement automatically. • Article 141 Judicial Synthesis: Dynamically retrieves and binds 8+ Supreme Court and High Court precedents (<i>Suncraft</i>, <i>LGW Industries</i>, <i>Beathel</i>, <i>Arise India</i>) into court-ready IRAC appeal grounds. • Quantitative Scoring Engine (0-100): Delivers a mathematical Readiness Score and definitive forward decision: PROCEED (fortified appeal) vs HOLD (critical evidence gap).

CAPSTONE DEMONSTRATION: PROCEED VS. HOLD MATRIX

Empirical Verification: Genuine Retrospective Cancellation vs. Deficient Paper Supply

Dimension	Dataset 1: Proceed Worthy (Retrospective Cancellation)	Dataset 2: Not Worthy of Proceeding (HOLD / Paper Supply)
Matter & Disputed Amount	M/s Apex Precision Engineering (FY 2018-19) Disputed ITC: INR 38,40,000	M/s Shaurya Infra Projects (FY 2019-20) Disputed ITC: INR 52,00,000
Core Fact Pattern	Supplier registration was ACTIVE at supply date. Tax paid via RTGS in 12 days. Supplier registration was retrospectively cancelled ab-initio 5 years later .	Allegation of circular trading under Section 74. NO E-Way bill, NO transit proof . Payment delayed by 216 days (exceeding statutory 180-day limit).
Documentary Evidence Ingested	Rule 46 Invoices + RTGS Bank Statement + E-Way Bill (Part A & B) + Weighbridge Slip + FASTag Toll Logs + GSTR-1 Ack + DRC-07	Deficient Invoices + Delayed Bank Statement + DRC-07 [ZERO E-Way Bill & ZERO Transit Records]
Engine Statutory Audit	All 8 Parameters Satisfied (NGTP-P1 to P8) Protected by <i>LGW Industries</i> (Cal HC) & <i>D.Y. Beathel</i> (Mad HC).	NGTP-P2 Failed (Sec 16(2)(b) Transit Corroboration) High Section 74 Risk (Circular trading unrebutted)
Litigation Readiness Score	100 / 100 (Optimal Litigation Standard)	50 / 100 (High Litigation Risk)
Viability Assessment	95 / 100 (HIGH Probability of Success)	43 / 100 (LOW Probability / Critical Gaps)
Actionable Decision	PROCEED • File Form GST APL-01 Appeal	HOLD • Do NOT proceed without transit proof

Candidate Oral Pitch for Examiners (Read verbatim during presentation):

"**Respected Examiners:** This platform resolves the pervasive Section 16(2)(c) and retrospective NGTP dispute crisis for Indian Chartered Accountants.

In **Case 1**, when a supplier is retrospectively cancelled but the buyer paid via RTGS and possesses verified E-Way bills and FASTag toll receipts, the engine scores it **100/100 PROCEED** anchored on Supreme Court affirmed *Suncraft Energy* and Calcutta HC *LGW Industries*.

In **Case 2**, where transit records are absent, the engine does not hallucinate; it immediately halts the appeal with a **50/100 HOLD**, preventing disastrous litigation for the client. That is the power of deterministic, audit-proof legal AI."